

REVIEWER : IT CUSTOMER RELATIONSHIP MANAGEMENT

MODULE 1 :

What is CRM ?

CRM means **Customer Relationship Management** , it is a **technology enabled strategy for managing a company's relationship** and interactions with customers and potential customers.

The goal of CRM is to improve business relationships to grow the business.

THE THREE PILLARS OF CRM

The CRM is **beyond software** because it includes **strategy + process + technology** .

1. Strategy - The Why

- CRM is first a business strategy. It involves **adopting a customer centric philosophy** and understanding the customer needs.

2. Process - The How

- CRM requires **well defined business processes** and integrated processes across all departments.

3. Technology - The What

- CRM software is the **enabler** because it **centralizes customers data** and **provides the platform and tools** to execute CRM strategy and processes.

Why is CRM critical for modern businesses?

There are 3 major reasons:

A. Customer-Centricity is Key

Customers now have:

- More information
- Reviews
- Comparisons
- More choices

Therefore, they expect:

- Personalized experiences
- Seamless interactions

Relationship Building

CRM helps businesses build long-term relationships, rather than focusing only on one-time transactions.

Loyal customers:

- Are more profitable
- Can become brand advocates

Personalization at Scale

CRM allows businesses to customize:

- Communications
- Offers
- Services

based on individual customer needs, even with millions of customers.

CRM and Business Growth & Profitability

A. Increased Sales

CRM improves sales through:

1. Better Lead Management

- Tracks leads
- Nurtures leads
- Improves conversion rates

2. Cross-selling & Upselling

- Uses customer history and preferences
- Identifies related products or higher-value services

3. Improved Sales Forecasting

- Uses accurate data
- Helps predict future sales

B. Enhanced Customer Retention

CRM helps keep customers.

Proactive Service

- Identifies possible problems before they become serious

Personalized Support

- Gives agents access to customer history
- Allows faster and more effective problem resolution

Reduced Churn

- Happy customers tend to stay longer

C. Operational Efficiency

CRM improves operations through:

Streamlined Processes

- Automates repetitive tasks
- Reduces manual effort

- Reduces errors

Improved Collaboration

- Breaks down departmental silos
- Gives departments access to the same customer information

Reduced Costs

- Efficient processes reduce costs
- Better retention reduces the need to constantly acquire new customers

Data-Driven Decision Making

CRM supports better decisions through:

Unified Customer View

Provides a single, comprehensive view of customer interactions across different touchpoints.

Actionable Insights

CRM analytics reveal trends in:

- Customer behavior
- Sales performance
- Service effectiveness

Performance Tracking

Businesses can measure:

- Marketing campaign effectiveness
- Sales efforts
- Service initiatives

Key idea:

CRM helps businesses acquire, retain, and grow profitable customer relationships by making interactions more intelligent and customer-focused.

Role of IT in CRM

Think: IT = The Digital Backbone

IT provides the infrastructure, tools, data, integration, and security needed for CRM.

A. Centralizing Customer Data

IT provides:

- Servers
- Databases

- Cloud platforms

These store and manage customer data.

IT also ensures:

- Data quality
- Data integrity
- Data accessibility

B. Automating Processes

IT implements software that automates repetitive tasks.

Sales:

- Email sequences
- Lead routing

Marketing:

- Email campaigns
- Lead nurturing workflows

Service:

- Ticketing
- Chatbots

Result:

Human employees can focus on more complex and relationship-building activities.

C. Providing Analytical Capabilities

IT implements:

- Business Intelligence (BI)
- Analytics tools

These allow businesses to:

- Analyze customer data
- Generate reports
- Create dashboards
- Produce actionable insights

D. Ensuring Integration

IT integrates CRM with other business systems such as:

- **ERP** — finance/inventory

- E-commerce platforms
- Marketing automation tools
- Customer service channels

Purpose:

To create:

- A unified customer view
 - Smooth data flow across the organization
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E. Maintaining Security & Compliance

IT protects sensitive customer data through:

- Cybersecurity measures
- Protection against breaches
- Protection against unauthorized access

IT also ensures compliance with regulations such as:

- GDPR
 - CCPA
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F. Supporting Customer Touchpoints

IT enables digital customer touchpoints such as:

- Websites
- Mobile apps
- Live chat
- Social media integrations

These can feed information into the CRM.

CRM Market Segmentation

The CRM market can be divided into:

1. Enterprise CRM

For large corporations.

Characteristics:

- Complex needs
- Extensive customization
- High integration requirements

Examples:

- Salesforce
 - SAP
 - Oracle
 - Microsoft Dynamics 365
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2. Mid-Market CRM

For medium-sized businesses.

Focus:

- Balance between features
- Ease of use
- Affordability

Examples:

- HubSpot
 - Zoho CRM
 - Pipedrive
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3. Small Business CRM

For small businesses.

Characteristics:

- Simple
- Often free or low-cost
- Core contact management
- Basic sales/marketing

Examples:

- HubSpot Free CRM
- Zoho CRM Free
- Freshsales

Leading CRM Platforms

Salesforce

Strengths:

- Market leader
- Highly customizable
- Large ecosystem of apps

- Strong for large enterprises
- Powerful sales automation

Focus:

Comprehensive cloud-based CRM:

- Sales Cloud
- Service Cloud
- Marketing Cloud

Consideration:

Can be complex and expensive for smaller businesses.

Remember:

Salesforce = Market leader + Highly customizable + Enterprise

HubSpot

Strengths:

- User-friendly
- Strong free CRM
- Good for small-to-mid-sized businesses
- Strong marketing and sales automation

Special concept:

Inbound Methodology

Focus:

All-in-one platform:

- Marketing Hub
- Sales Hub
- Service Hub
- CMS Hub
- Operations Hub

Considerations:

- Advanced features can become costly
- Less customization than Salesforce for very complex enterprise needs

Remember:

HubSpot = Inbound + User-friendly + Free CRM

Zoho CRM

Strengths:

- Affordable
- Wide range of integrated business applications
- Good for small-to-mid-sized businesses
- Strong customization for its price

Focus:

Comprehensive business application suite including:

- CRM
- Finance
- HR
- More

Consideration:

Can feel overwhelming because of the large number of apps.

Remember:

Zoho = Affordable + Many business apps

Microsoft Dynamics 365

Strengths:

- Strong Microsoft integration
- Works well with:
 - Office 365
 - Azure
- Robust enterprise capabilities

Focus:

Combines:

ERP + CRM

into a single cloud service.

Consideration:

- Can be complex to implement
- Best suited for larger organizations

Remember:

Dynamics 365 = Microsoft ecosystem + ERP + CRM

SAP CRM

Strengths:

- Part of a larger ERP ecosystem
- Strong for large enterprises
- Useful for complex supply chains
- Useful for manufacturing operations

Focus:

Integration with SAP's broader business suite.

Considerations:

- Very complex
- High cost
- Usually for very large organizations

Remember:

SAP = ERP ecosystem + Large enterprise + Supply chain/manufacturing